

# Nimbus Robotics Pvt Ltd Employee Stock Option Plan 2024

Nimbus Robotics Private Limited, a company incorporated under the Companies Act, 2013, with its registered office at 4th Floor, Prestige Tech Park, Outer Ring Road, Bengaluru 560103 (the "Company").

Adopted by the Board of Directors on 15 November 2024 and approved by the shareholders by special resolution on 29 November 2024.

## 1. Name, Purpose and Effective Date

1.1 Name. This plan is called the Nimbus Robotics Pvt Ltd Employee Stock Option Plan 2024 (the "Plan").

1.2 Purpose. The Plan lets the Company reward employees who contribute to its growth, attract and retain talent, and give employees a share in the value they help create.

1.3 Effective Date. The Plan comes into force on 1 December 2024 (the "Effective Date") and remains in force for ten (10) years, until 30 November 2034, unless the Board terminates it earlier under clause 12.

## 2. Definitions

In this Plan, unless the context requires otherwise:

2.1 "Board" means the Board of Directors of the Company, or a committee of the Board to which it has delegated its powers under this Plan.

2.2 "Option" means the right, but not the obligation, granted to an Employee to buy one Share at the Exercise Price on the terms of this Plan.

2.3 "Share" means one equity share of the Company with a face value of Rs 10.

2.4 "Pool" means the total number of Shares reserved for issue on exercise of Options under clause 3.1.

2.5 "Grant Date" means the date on which the Board approves a grant of Options, as stated in the Grant Letter.

2.6 "Grant Letter" means the letter from the Company to an Employee setting out the number of Options, the Exercise Price, the Grant Date and the vesting schedule.

2.7 "Exercise Price" means the price per Share payable on exercise of an Option.

2.8 "Vesting" means the process by which an Employee becomes entitled to exercise Options, and "Vested Options" and "Unvested Options" are construed accordingly.

2.9 "Cliff" means the period after the Grant Date during which no Options vest.

2.10 "Last Working Day" means the last day on which an Employee is actually employed by the Company, as recorded by the Company's human resources function.

2.11 "Exercise Window" means the period after the Last Working Day during which a departing Employee may exercise Vested Options.

2.12 "Good Leaver" and "Bad Leaver" have the meanings given in clause 7.

2.13 "Change of Control" has the meaning given in clause 8.1.

### **3. Pool, Eligibility and Grant Process**

3.1 Size of the Pool. The Pool is 1,000,000 (ten lakh) Shares, as approved by the Board resolution dated 15 November 2024. The total number of Options outstanding and exercised under this Plan may never exceed the Pool. Options that lapse or are forfeited for any reason return to the Pool and may be granted again.

3.2 Eligibility. Options may be granted to any permanent employee of the Company or of its subsidiaries in India, whether working full time or part time, who has completed their probation period.

3.3 Persons not eligible. The following persons are not eligible for Options: (a) a promoter or a person belonging to the promoter group; (b) an independent director; and (c) a director who, directly or indirectly, holds more than ten per cent (10%) of the issued equity shares of the Company.

3.4 Grant process. The Board decides each grant on the recommendation of the Chief Executive Officer. The Board approves the number of Options, the Exercise Price, the Grant Date and the vesting schedule, and the grant is recorded in the minutes of the Board meeting.

3.5 Grant Letter. Within thirty (30) days of the Grant Date, the Company issues a Grant Letter to the Employee. Each grant is subject to this Plan, and if a Grant Letter conflicts with this Plan, this Plan prevails.

3.6 Acceptance. The Employee must accept the grant by signing and returning the Grant Letter within thirty (30) days of receiving it. Options that are not accepted in this period lapse and return to the Pool.

3.7 No right to employment. A grant of Options does not give the Employee any right to continued employment, and does not form part of the Employee's salary for any purpose.

## 4. Vesting

4.1 Vesting period. Unless the Board decides otherwise at the time of grant, every grant vests over a total period of forty-eight (48) months from the Grant Date.

4.2 Cliff. Every grant is subject to a Cliff of twelve (12) months. No Options vest before the first anniversary of the Grant Date. On the first anniversary of the Grant Date, twenty-five per cent (25%) of the Options vest at once.

4.3 Monthly vesting after the Cliff. After the Cliff, the remaining Options vest in thirty-six (36) equal monthly instalments, so that one forty-eighth ( $1/48$ ) of the Options vests on the same day of each following month, until all Options have vested on the fourth anniversary of the Grant Date.

4.4 Statutory minimum. In line with the Companies (Share Capital and Debentures) Rules, 2014, there must be a minimum period of one (1) year between the Grant Date and the first vesting of any Option.

4.5 Rounding. Where the number of Options vesting on any date is not a whole number, it is rounded down to the nearest whole Option. Any fractions are carried forward and vest with the final instalment.

4.6 Continuous employment. Options vest only while the Employee remains in continuous employment with the Company. Vesting stops on the Last Working Day.

4.7 Leave of absence. Vesting is suspended during any period of unpaid leave of more than ninety (90) consecutive days, and resumes when the Employee returns to work. The vesting schedule is extended by the length of the suspension.

4.8 Worked example. An Employee granted 4,800 Options on 1 January 2025 has 0 Vested Options on 31 December 2025, 1,200 Vested Options on 1 January 2026, a further 100 Options vesting on the first day of each month after that, and all 4,800 Options vested on 1 January 2029.

## **5. Exercise Price and Exercise of Options**

5.1 Exercise Price. The Board sets the Exercise Price for each grant on the Grant Date. The Exercise Price shall not be less than Rs 10 per Share, which is the face value of a Share.

5.2 Fair value. When setting the Exercise Price, the Board shall take into account the fair market value of a Share as determined by a registered valuer for the most recent financial year.

5.3 When Options may be exercised. While employed, an Employee may exercise Vested Options at any time, in whole or in part, up to the tenth (10th) anniversary of the Grant Date. Options not exercised by the tenth anniversary of the Grant Date lapse.

5.4 How to exercise. To exercise Options, the Employee sends a written exercise notice to the Company Secretary stating the number of Vested Options to be exercised, and pays the total Exercise Price, together with any tax the Company is required to withhold, within fifteen (15) days of the notice.

5.5 Minimum exercise. Options may be exercised in lots of at least one hundred (100) Options, unless fewer than one hundred Vested Options remain.

5.6 Allotment. The Company allots the Shares to the Employee within thirty (30) days of receiving the exercise notice and full payment, and records the Employee in the register of members.

5.7 Rights before exercise. An Employee has no voting rights, dividend rights or any other rights of a shareholder in respect of Options until the Shares are allotted on exercise.

## **6. Exercise Window After Leaving**

6.1 Exercise Window. An Employee who leaves the Company as a Good Leaver may exercise their Vested Options within ninety (90) days after the Last Working Day. This ninety-day period is the Exercise Window.

6.2 Lapse at the end of the Exercise Window. Vested Options that are not exercised by the end of the Exercise Window lapse automatically, without notice or compensation, and return to the Pool.

6.3 Death or permanent disability. If an Employee dies or leaves because of permanent disability, all Vested Options may be exercised by the Employee or their legal heirs or nominees within twelve (12) months after the Last Working Day, instead of the ninety-day Exercise Window.

6.4 Earlier expiry. The Exercise Window never extends an Option beyond the tenth anniversary of its Grant Date under clause 5.3.

6.5 Bad Leavers. A Bad Leaver has no Exercise Window. Their Options are forfeited under clause 7.4.

6.6 Notice to the leaver. On or before the Last Working Day, the Company shall give the departing Employee a written statement of their Vested Options, Unvested Options and the last date of their Exercise Window. A failure to give this statement does not extend the Exercise Window.

## **7. Termination of Employment: Good Leavers and Bad Leavers**

7.1 Unvested Options on leaving. When an Employee's employment ends for any reason, all Unvested Options lapse on the Last Working Day and return to the Pool.

7.2 Good Leaver. An Employee is a Good Leaver if their employment ends because of: (a) resignation; (b) termination by the Company for reasons other than cause, including redundancy; (c) retirement on reaching the Company's retirement age; or (d) death or permanent disability.

7.3 Good Leaver rights. A Good Leaver keeps all Options that have vested up to the Last Working Day, and may exercise them within the Exercise Window under clause 6.

7.4 Bad Leaver. An Employee is a Bad Leaver if their employment is terminated for cause, including fraud, misappropriation of Company funds, wilful misconduct, a material breach of confidentiality or intellectual property obligations, or conviction for an offence involving moral turpitude. A Bad Leaver forfeits all Vested Options and all Unvested Options with immediate effect on the date of termination, and the forfeited Options return to the Pool.

7.5 Board determination. The Board decides whether a departing Employee is a Good Leaver or a Bad Leaver, acting reasonably and after giving the Employee an opportunity to be heard. The Board's decision is final.

7.6 Shares already allotted. Leaving the Company, whether as a Good Leaver or a Bad Leaver, does not affect Shares already allotted to the Employee on an earlier exercise of Options.

7.7 Transfer within the group. A transfer of employment between the Company and any of its subsidiaries is not a termination of employment for the purposes of this Plan.

## **8. Acquisition and Corporate Actions**

8.1 Change of Control. A "Change of Control" means any transaction or series of related transactions in which a person, alone or together with persons acting in concert, acquires more than fifty per cent (50%) of the voting share capital of the Company, or acquires all or substantially all of the Company's assets.

8.2 Acceleration on acquisition. On a Change of Control, fifty per cent (50%) of each Employee's Unvested Options vest immediately before the Change of Control is completed.

8.3 Remaining Unvested Options. Options that remain unvested after clause 8.2 continue to vest on their original schedule, or are replaced by equivalent options in the acquiring company, as the Board decides.

8.4 Corporate actions. If the Company makes a bonus issue, rights issue, share split or consolidation, the Board shall adjust the number of Options and the Exercise Price so that the value of each Employee's Options is not reduced.

## **9. Tax**

9.1 Tax on exercise. Under section 17(2)(vi) of the Income-tax Act, 1961, the difference between the fair market value of a Share on the date of exercise and the Exercise Price is taxed as a perquisite in the Employee's hands, as part of salary income.

9.2 Withholding. The Company shall deduct tax at source on the perquisite value and may require the Employee to pay that amount before the Shares are allotted.

9.3 Tax on sale. When the Employee later sells Shares, any gain over the fair market value on the date of exercise is taxed as capital gains.

9.4 No tax advice. This clause is a general summary only and is not tax advice. Employees should consult their own tax adviser.

## **10. Transfer Restrictions**

10.1 Options are personal. Options are personal to the Employee. They may not be transferred, assigned, pledged, mortgaged or otherwise encumbered, except to legal heirs on death under clause 6.3.

10.2 Right of first refusal. Before transferring any Share received on exercise of Options, the Employee must first offer it to the Company or its nominee at fair market value. If the offer is not accepted within thirty (30) days, the Employee may sell the Share to a third party at a price not lower than the offered price.

10.3 Lock-in on listing. If the Company's Shares are listed on a stock exchange, Shares received on exercise remain subject to any lock-in required by law.

## **11. Administration by the Board**

11.1 Administration. The Plan is administered by the Board. The Board may delegate its powers under this Plan to a Compensation Committee of at least two directors.

11.2 Powers of the Board. The Board has full power to interpret the Plan, to decide grants, to determine Good Leaver and Bad Leaver status, and to make rules for the operation of the Plan. All decisions of the Board are final and binding.

11.3 Records. The Company Secretary maintains a register of all Options granted, vested, exercised, lapsed and forfeited, and reports the status of the Pool to the Board at least once every quarter.

## **12. Amendment and Termination**

12.1 The Board may amend or terminate the Plan at any time, subject to shareholder approval where required by law. No amendment may adversely affect Options already granted without the written consent of the affected Employee.

## **13. Transition from the ESOP 2022**

13.1 Options granted under the Nimbus Robotics Employee Stock Option Scheme 2022 before the Effective Date are rolled into this Plan, count against the Pool, and keep their original Grant Date, Exercise Price and vesting schedule. Clause 5.1 does not apply to them.

## **14. Governing Law**

14.1 This Plan is governed by the laws of India. The courts at Bengaluru have exclusive jurisdiction over any dispute arising under it.